



Ultra Sound Money

Ethereum's Post-Merge Supply Dynamics and Monetary Premium

CURRENT SUPPLY

121.6M ETH

BASE GAS

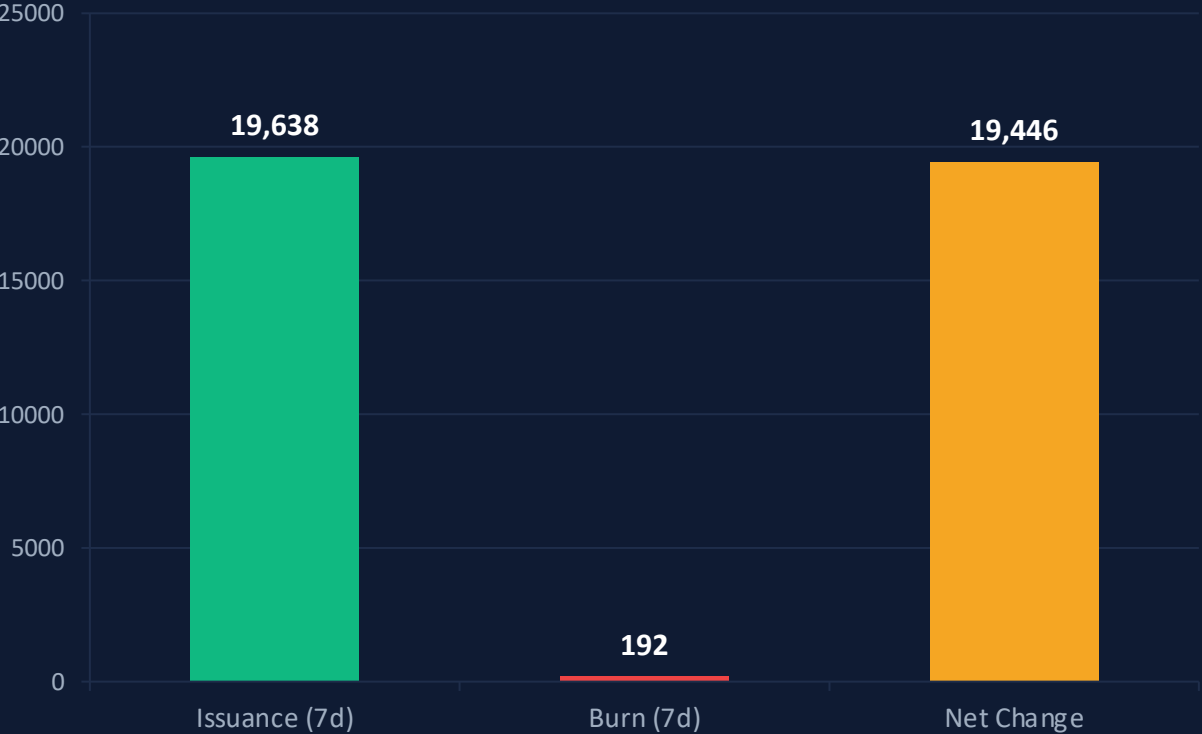
0.1 Gwei

ETH PRICE

\$2,243

ETH Supply Growing at +0.83%/Year with Only 192 ETH Burned in 7 Days

ETH



TOTAL SUPPLY

121,603,980 ETH

7-DAY ISSUANCE

19,638.29 ETH

7-DAY BURN

192.39 ETH

Offset Ratio: 0.01x

Burns offset only ~1% of new issuance

At current gas levels, ETH is mildly inflationary — the ultra sound money thesis requires sustained on-chain activity to drive deflationary dynamics.

Base Gas at Historic Lows: 0.1 Gwei Average Suppresses Fee Burn

EIP-1559 Burn Mechanism

Base fees are burned (permanently removed from supply).
Priority fees (tips) go to validators.
When gas demand is high → more ETH burned → deflationary pressure.
When gas demand is low → minimal burn → inflationary pressure.

Current state: Gas is at historic lows, suppressing burn.

7-Day Gas Market Range



Min: 0.0 Gwei

Avg: 0.1 Gwei

Max: 1.3 Gwei

Equilibrium threshold: 22 Gwei



22 Gwei

7-DAY BASE FEE BURN

192.39 ETH

BLOB GAS (AVG)

7,144,934 wei

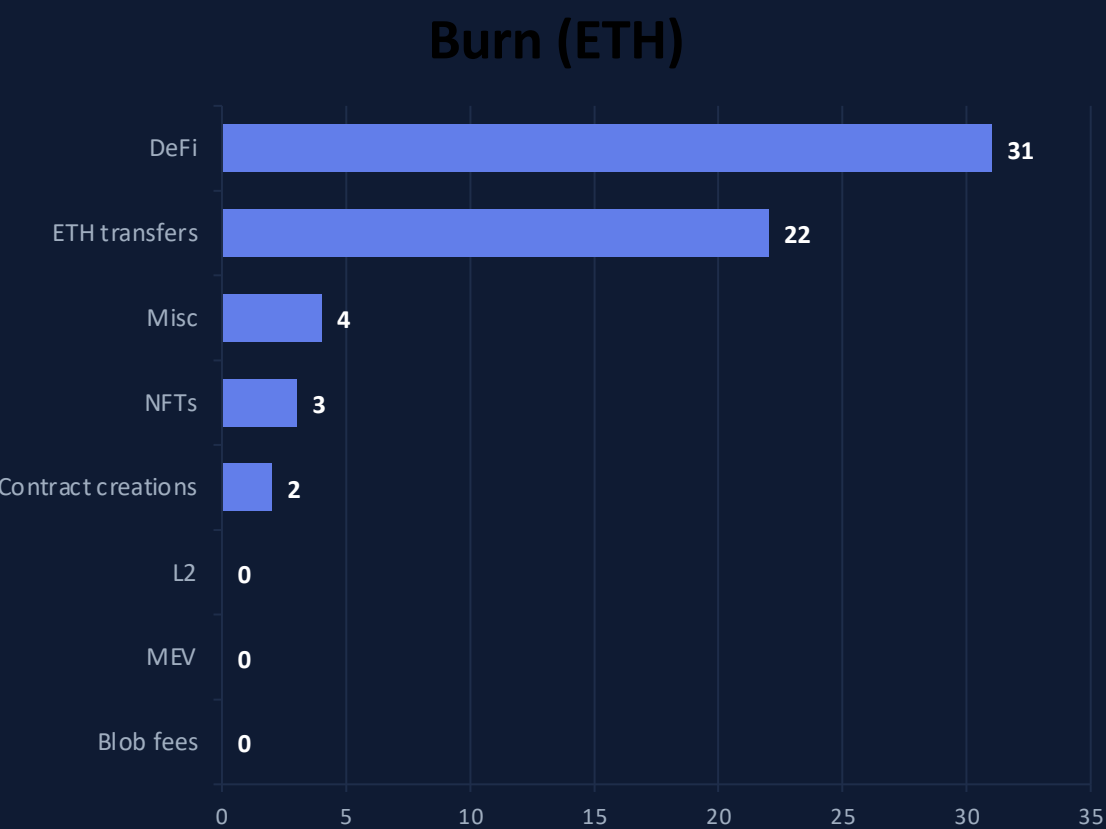
7-DAY BLOB FEE BURN

0.15 ETH (\$319)

Low Gas = Low Burn = Temporary Supply Inflation

The 22 Gwei equilibrium assumption used in long-term projections is 220x above current average gas levels.

DeFi and ETH Transfers Account for 85% of Weekly Fee Burn



Top Burn Leaders (7-Day)

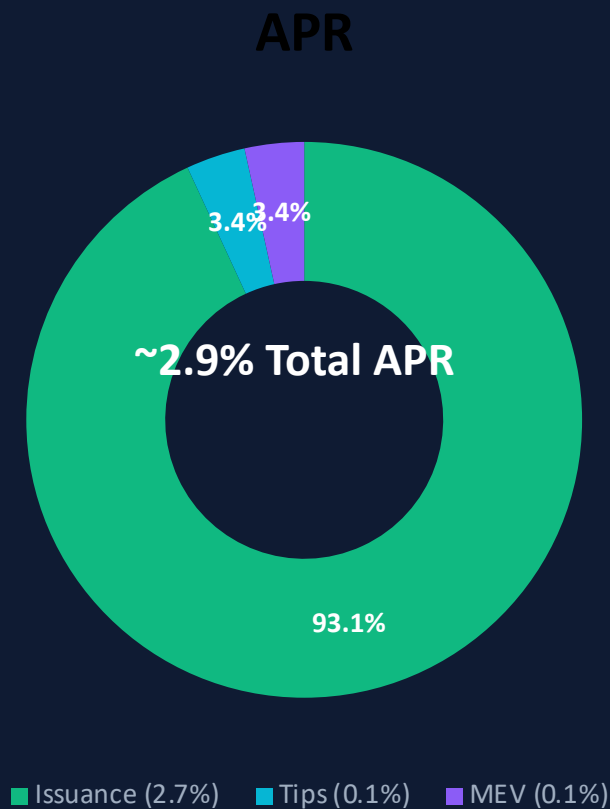
Source	Burn (ETH)
ETH Transfers	21.74
Tether USDT	13.55
DeFi Contracts	~31.00
NFTs	~3.00
Contract Creations	~2.00
L2 / MEV / Blobs	0.00
Total (7d)	~192

DeFi + ETH Transfers = 85% of weekly burn

53 of 192 ETH burned comes from just two categories

Recent blocks show burns of 0.00–0.01 ETH per block, reflecting the extremely low fee environment. 7-day burn record: just 0.07 ETH in a single block.

38.9M ETH Staked at 2.7% Issuance Rewards with Minimal Tips and MEV



ETH STAKED

38.9M ETH

% OF SUPPLY

32%

Validator Reward Breakdown

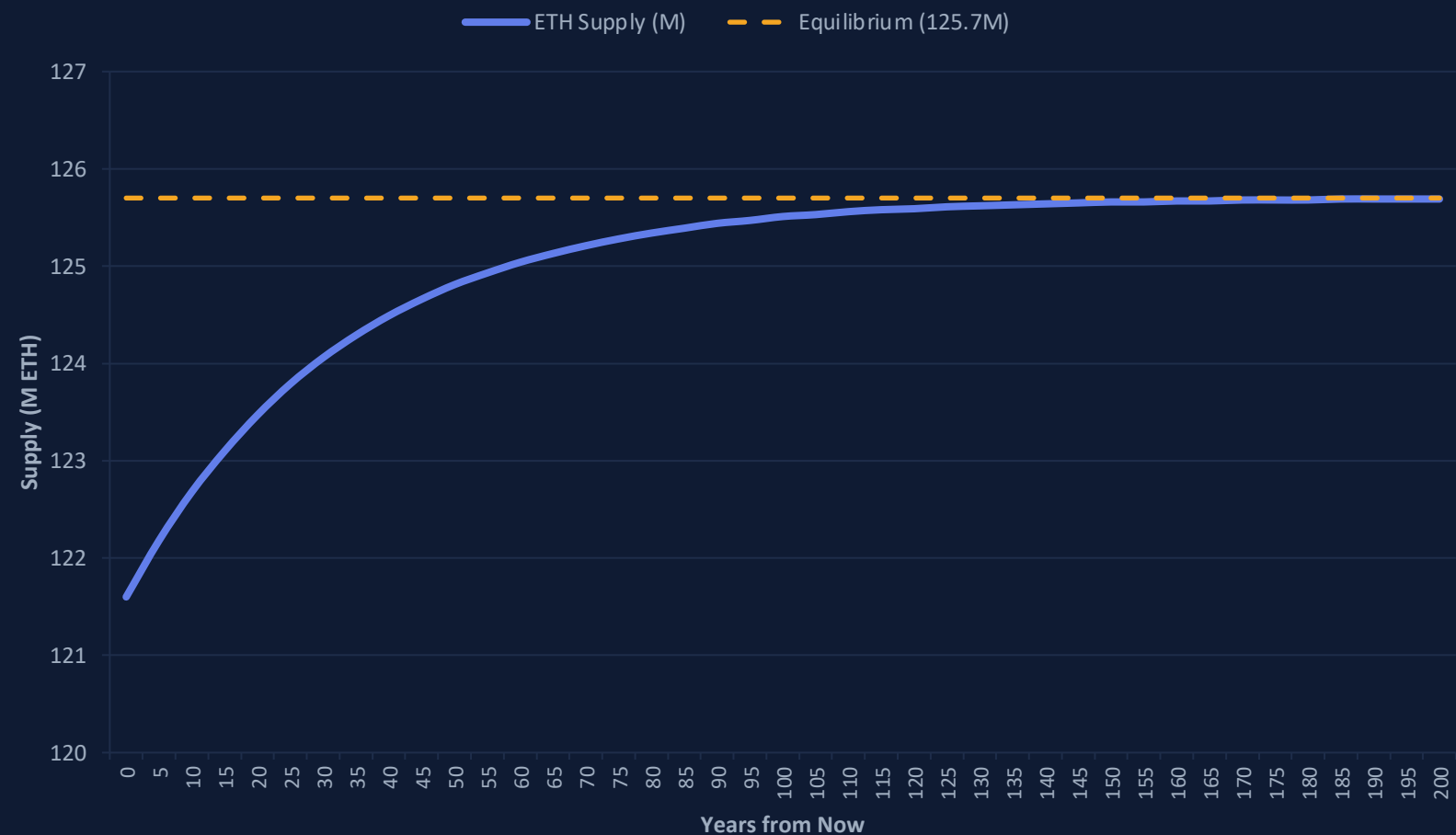
Type	Amount	APR	Share
Issuance	0.9 ETH/val	2.7%	93%
Tips	0.0 ETH	0.1%	3.5%
MEV	0.0 ETH	0.1%	3.5%

Scarcity Engine: Supply Lock

9.1M ETH locked in staking contracts with average time span of 10.7 years — significant supply removed from circulation.

PoS issuance: ~2,800 ETH/day. Fee burn at normalized assumptions: ~2,200 ETH/day. Current actual burn is far below normalized levels.

Long-Term Equilibrium Projected at 125.7M ETH with 1,037K ETH/Year Issuance-Burn Balance



Historical Era Transitions

- Genesis: 5 ETH/block
- Byzantium: 3 ETH/block
- Constantinople: 2 ETH/block
- Phase 0: Staking begins
- London: EIP-1559 burn
- The Merge: PoW removed

Key Projection Parameters

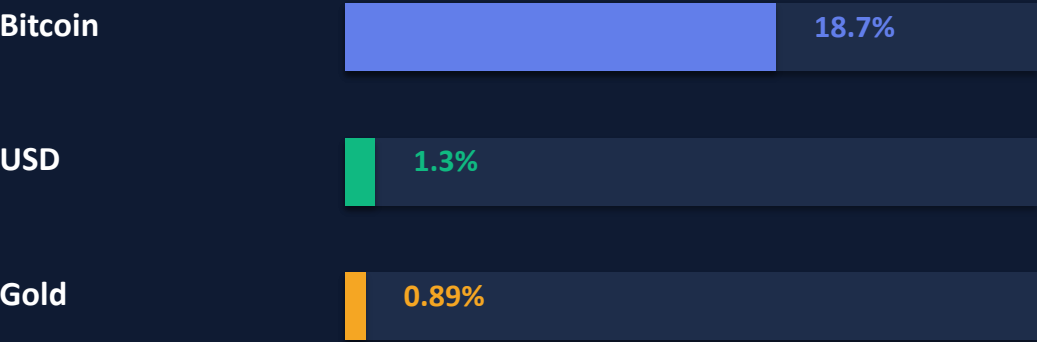
- ETH Staked: 39M
- Base Gas: 22 Gwei
- PoS Issuance: 2.8K ETH/day
- Burn: 2.2K ETH/day
- Equilibrium: 1,037K ETH/yr
- Staker Rate: 2.7%/yr
- Burn Rate (non-staker): 1.2%/yr

Equilibrium: 125.7M ETH

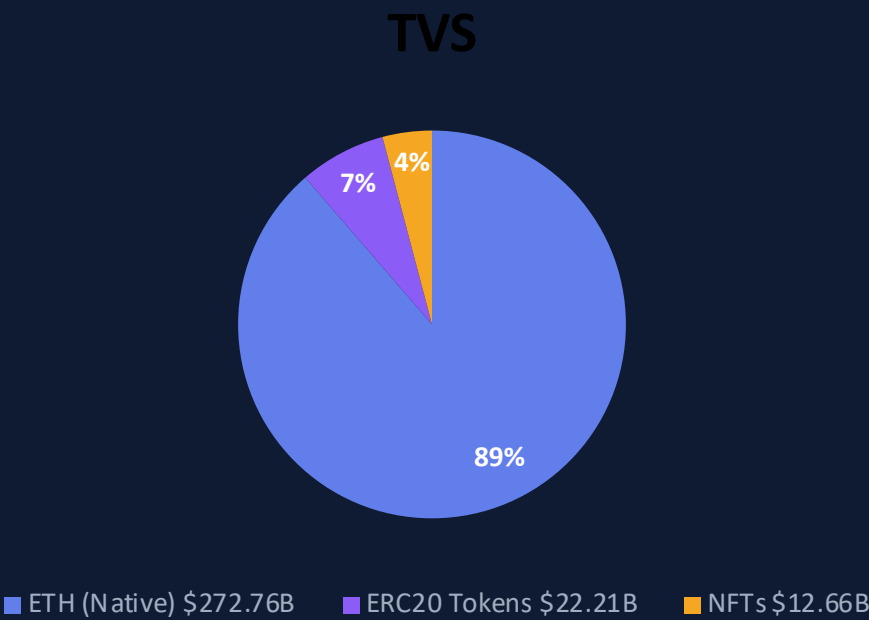
Issuance = Burn at ~1,037K ETH/yr

ETH at 18.7% of Bitcoin's Market Cap, Securing \$272B in Native Value

Flipping Progress



Total Value Secured: \$307.6B



Top ERC20s by Value

Token	Value
Dai	\$4.41B
Shiba Inu	\$3.51B
Cronos	\$2.97B
Tether Gold	\$2.65B

Top NFT Collections

Collection	Value
CryptoPunks	\$2.13B
Bored Ape YC	\$0.68B
ENS	\$0.63B
Pudgy Penguins	\$0.51B

Key Takeaways: Ultra Sound Money Thesis Intact but Gas Activity Is the Critical Variable

1

Mildly Inflationary Now

ETH is currently inflationary at +0.83%/yr due to historically low gas fees (avg 0.1 Gwei), with burns offsetting only ~1% of issuance.

2

Burn Requires Activity

The EIP-1559 burn mechanism works but requires sustained on-chain activity. Low gas = low burn = supply inflation.

3

Staking Locks Supply

38.9M ETH (32% of supply) is staked with 9.1M ETH locked for avg 10.7 years — significant supply removed from circulation.

4

Equilibrium Is Sound

Long-term equilibrium at 125.7M ETH is structurally sound, assuming 22 Gwei avg gas to balance issuance and burn at ~1,037K ETH/yr.

5

Growing Monetary Premium

Ethereum secures \$307B+ in total value and has reached 18.7% of Bitcoin's market cap — demonstrating growing but still early monetary premium.

Forward-Looking Implication

The ultra sound money thesis remains structurally intact. The critical variable is on-chain activity recovery — when gas returns to normalized levels, the burn mechanism will resume its deflationary role and ETH's monetary properties will strengthen.